

lower rate has the added bonus of demonstrating to the bank that you are serious about paying off your debt.

Laddering

Of course, as is often the case, you may have multiple sources of debt. Which do you confront first? Nicol proposes 'laddering', a method to prioritise debt by focusing on the card or loan with the highest interest rate. This is the most urgent, because it will take you the longest to pay off, and is chewing the deepest into your personal finances.

Next, try to renegotiate the rates for the most pressing debts with your loan providers. If you are unsure how to do this, or cannot afford the fees for a financial planner, the National Debt Helpline is a good place to start.

Now you can chip away at each source of debt, from the highest interest rate to the lowest, until you're in the clear.

Good versus evil

Say you don't have a credit card, but you're paying off a car loan. Should you sell that car while saving for a home? This conundrum boils down to the concept of good and bad debt. Experts are divided on whether carrying some debt is wise, but is there such a thing as good debt? And at what point does debt become bad?

Nicol says:

I would argue that if you have car finance, for instance, particularly if you need your car for work, that is good debt because it is helping you with your employment, so there certainly would not be a problem having a car loan.

But what people don't realise is that if you do have debt and you are looking to buy a property, the banks have what they call serviceability ratios, and they'll consider what you are paying on those loans and effectively reduce your borrowing capacity, taking into consideration those repayments.

If you are going to have debt in your name [and] you are saving or going for a loan, you really want to ... keep that debt at a low level, so the tipping point is not high.